



SPONSOR: Rep. Bush & Rep. Hensley & Sen. Hoffner
Reps. Griffith, K. Johnson, Osienski, D. Short, Yearick;
Sens. Lawson, Poore

HOUSE OF REPRESENTATIVES
153rd GENERAL ASSEMBLY

HOUSE BILL NO. 73

AN ACT TO AMEND TITLE 14 AND 29 OF THE DELAWARE CODE RELATING TO THE SENIOR PROPERTY TAX CREDIT.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF DELAWARE:

Section 1. Amend § 1917, Title 14 of the Delaware Code by making deletions as shown by strike through and insertions as shown by underline as follows:

§ 1917. Collection and deposit of school taxes.

(c) (1) b. Mere seasonal or temporary residence within the State, of whatever duration, shall not constitute domicile within the State for the purposes of this section. Absence from this State for a period of 12 months shall be prima facie evidence of abandonment of domicile in this State. The burden of establishing legal domicile within the State shall be upon the claimant. The maximum such credit authorized by vote of local school boards shall be the lesser of:

1. Fifty percent of such tax remaining after taking into account any exemption pursuant to Title 9 and Title 22 and any tax reduction pursuant to § 6102 of Title 29; ~~or 29.~~

2. Five hundred ~~dollars.~~ dollars for all years prior to January 1, 2026.

3. One thousand dollars for all years beginning on or after January 1, 2026.

The receiver of taxes and county treasurer shall apply such credit after any change to the current expense tax rate pursuant to § 6102 of Title 29.

Section 2. Amend § 6102, Title 29 of the Delaware Code by making deletions as shown by strike through and insertions as shown by underline as follows:

§ 6102. Composition of General Fund; Delaware Higher Education Loan Program Fund.

(q) (3) Local school boards shall decide through majority vote of the whole school board whether to authorize a credit against taxation imposed pursuant to Chapter 19 of Title 14 on the valuation of any qualified property, as defined in § 1917(c) of Title 14. The maximum such credit shall be the lesser of 50% of such tax remaining after taking into account any exemption ~~pursuant to Title 9 and Title 22, or \$500 under Title 9, Title 22, and Section 1917 of Title 14.~~ The receiver of taxes and county treasurer shall apply such credit after any change to the current expense tax rate pursuant to this section. Should the local school board decide to authorize less than the maximum amount of credit against taxation, the local school

23 board shall develop a plan for using moneys received pursuant to this subsection, provide appropriate and reasonable public
24 notice and comment on the proposed plan, and approve the plan through majority vote of the local school board. Local
25 school boards shall submit the approved plan to the Secretary of Finance, the Secretary of Education, the Director of the
26 Office of Management and Budget and the Controller General. In the event that local school boards choose not to authorize
27 the aforementioned credit against taxation, the sums appropriated herein will result in increased state funding for education-
28 related expenses of the school districts. Education-related expenses for the purposes of this subsection shall be defined as
29 including, but not being limited to, computer hardware and software, library resources and other instructional materials, and
30 minor capital improvements to school facilities. Local school boards and all other responsible parties under this paragraph
31 are hereby directed to cause such conditions to be met as soon as practicable after the enactment of this section, but in no
32 event later than October 30, 1999, and shall notify the Secretary of Finance and the Controller General as soon as such
33 conditions are met. Notwithstanding any of the foregoing to the contrary, funds received pursuant to this section shall not
34 be used for major capital improvements or debt service.

SYNOPSIS

This Act raises the Senior property tax credit cap from \$500 to \$1000.